

## Why Do I Need to Understand This?

Credit cards are one example of a line of credit, as discussed in the previous chapter—but because they are so frequently a problem for people, we'll be covering them in more detail. You need to understand credit cards because you will likely be using them regularly, and if you do not know how they work, you may find yourself buried in overwhelming debt. Because of the high interest rates that come with credit cards, it can easily take more than five years to pay off only \$1,000 of credit card debt if you are only making the minimum payments.<sup>26</sup>

However, it's important to note that although credit cards can be dangerous if used irresponsibly, they can also be beneficial tools to help people build a solid credit history. Many also come with incentives, like cash back or travel rewards. There are plenty of people who will say that credit cards are a scam and that you should do everything you can to avoid them. My bet is that those people did not understand credit cards and paid the price for their ignorance. Credit cards are like most financial tools: if you understand them, you can use them to your advantage; if you do not understand them, they can wreck your finances. This chapter will teach you how credit cards work and how to use them competently to avoid serious debt.

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26 "How Long Do I Have to Pay Off a Credit Card Balance?," Debt.com, last modified August 7, 2019, <https://www.debt.com/credit-card-debt/how-long-to-pay-off-credit-card-balance>.